SUPPLEMENT · AUGUST 2026

Nautilus

Provision Analytics

What employers actually signed, provision by provision.

Thirty-seven plan sponsor contracts. None reached Good.

A supplement to the **CAA 2026 Readiness Report**
Inaugural issue, July 29, 2026

FIDUCIARY ALIGNMENT SCORE · 37 PLAN SPONSOR CONTRACTS ● 68% RED FLAG



RED FLAG 25 CONCERN 10 FAIR 2 GOOD 0 EXCELLENT 0

Analysis powered by Nautilus Contract X-Ray

1. Why This Supplement Exists

The CAA 2026 Readiness Report publishes provision-level results for the 27 PBM standard contracts in its scored population. This supplement publishes the equivalent results for the 37 plan sponsor contracts in that same population, so findings drawn from those contracts can be cited and checked.

Nothing here restates the report. The two documents answer different questions. The report measures what a PBM will sign. This supplement measures what employers actually hold.

> **The two populations are separate.** The 37 contracts scored here and the 27 PBM standard contracts reported in the CAA 2026 Readiness Report are not combined, and figures from one do not carry to the other. Where a figure here differs from one published in the report, the difference reflects the population, not a revision.

2. Population

Thirty-seven executed pharmacy benefit management agreements held by employer plan sponsors, in effect 2024 through 2026. The population is a cross-section by plan size, geography, and PBM business model, and includes pass-through, disclosed-pricing, and traditional spread-priced arrangements.

Contracts were submitted by plan sponsors, their advisors, and through open procurements. Each contract is scored on its executed language, including amendments and exhibits where provided. No contract is identified, and no PBM or plan sponsor is named.

3. Method

Each contract is scored against ten provisions using Contract X-Ray. Scoring is performed on contract language alone. It does not evaluate business practices, marketing claims, regulatory filings, or operational performance outside the documents reviewed.

Each provision receives a score of zero to one hundred. Provision scores are weighted to a single Fiduciary Alignment Score, also zero to one hundred. Both are reported in five bands.

BAND	RANGE	MEANING
Excellent	90 to 100	Fiduciary-aligned language throughout
Good	75 to 89	Sound, with defined gaps
Fair	60 to 74	Material gaps requiring attention
Concern	45 to 59	Significant exposure
Red Flag	Below 45	Language works against the plan

Scores move only when contract language changes or when the scoring methodology changes. Every score in this supplement was produced under Scoring Rubric v5.3.

4. Overall Results

Contracts scored	**37**
Median Fiduciary Alignment Score	**38**
Range	**14 to 61**
Reaching Good or better, 75 and above	**0**
Red Flag, below 45	**25 of 37 (68%)**
Concern, 45 to 59	**10 of 37 (27%)**
Fair, 60 to 74	**2 of 37 (5%)**

> **No contract in this population reaches Good. The highest-scoring plan sponsor contract scored 61.**

5. Results by Provision

Ordered from weakest to strongest by median score. Distribution percentages are the share of the 37 contracts falling in each band and may not total 100 due to rounding.

PROVISION	MEDIAN	BAND DISTRIBUTION	RED FLAG	HIGHEST SCORE
Conflict of Interest and Network Neutrality	20		78%	83
Carve-Out and Vendor Rights	20		84%	65
Fiduciary Loyalty Commitment	31		92%	100
Administrative Fee Transparency	32		78%	60
Audit Rights and Verification	35		65%	68
Lowest Net Cost and Clinical Integrity	35		86%	50
Data Ownership and Rights	40		76%	76
Termination and Clean Exit	48		46%	90
Pass-Through Pricing Integrity	53		35%	91
Rebate and Manufacturer Revenue	65		22%	100

Red Flag Concern Fair Good Excellent

6. What the Distribution Shows

The provisions that govern money outperform the provisions that govern control.

Rebate and manufacturer revenue is the strongest provision in the population at a median of 65, and pass-through pricing integrity follows at 53. Those are the two terms the market has learned to negotiate. Every provision that determines whether a pricing commitment can be verified, enforced, or escaped scores lower.

Four provisions place more than three-quarters of contracts in Red Flag.

Fiduciary loyalty at 92 percent, lowest net cost at 86 percent, carve-out rights at 84 percent, and conflict of interest and administrative fee transparency at 78 percent each. On lowest net cost, no contract in the population exceeds 50.

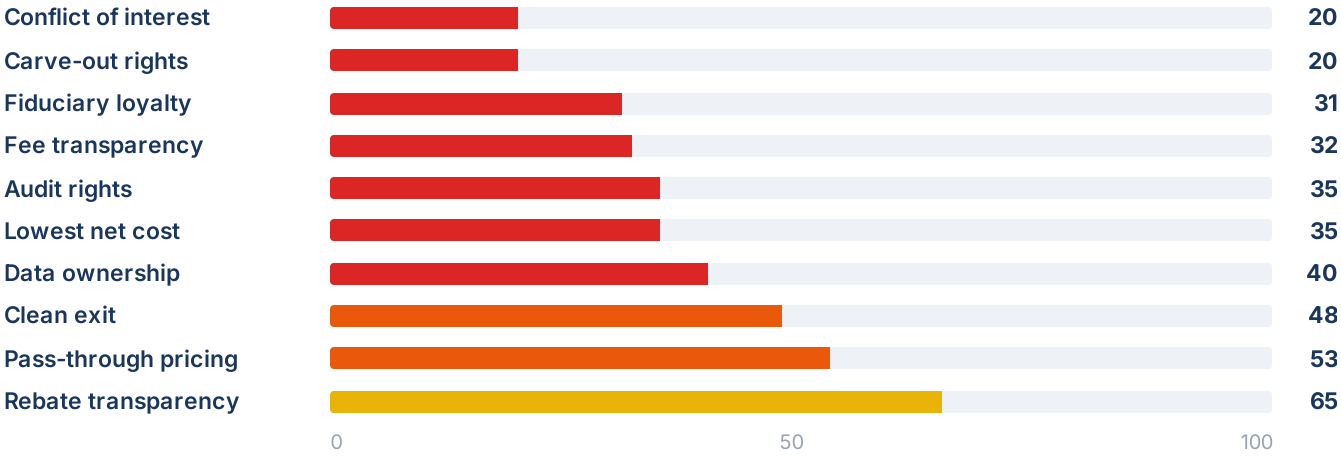
Ceilings matter as much as medians.

On carve-out rights the highest score in the population is 65, on administrative fee transparency 60, on audit rights 68, and on lowest net cost 50. On those four provisions, not one of the 37 contracts reaches the Good band. This is not a distribution with a weak tail. It is the whole population.

Strong language does reach executed contracts.

Fiduciary loyalty and rebate and manufacturer revenue both reach 100 in this population. Where a plan sponsor has negotiated a provision, the result appears in the data.

MEDIAN SCORE BY PROVISION · 37 PLAN SPONSOR CONTRACTS



7. Comparison to PBM Standard Contracts

The CAA 2026 Readiness Report publishes median scores across the 27 PBM standard contracts, along with the highest score any PBM has signed on each provision. Those figures appear in Figure 6 of the report and are reproduced here for comparison only.

PROVISION	MEDIAN 37 PLAN SPONSOR CONTRACTS	MEDIAN 27 PBM STANDARD CONTRACTS	HIGHEST SIGNED BY ANY PBM
Conflict of interest	20	40	98
Carve-out rights	20	52	95
Fiduciary loyalty	31	42	100
Fee transparency	32	50	100
Audit rights	35	58	100
Lowest net cost	35	45	100
Data ownership	40	62	100
Clean exit	48	66	100
Pass-through pricing	53	82	100
Rebate transparency	65	80	100

Plan sponsor contracts score below PBM standard contracts on every provision. A standard contract reflects what a PBM will sign when asked. An executed agreement reflects what a plan sponsor received. The distance between those two columns is negotiating room that already exists in the market.

> **The third column is the operative one. On every provision, some PBM has already executed language scoring 95 or higher. No gap in this supplement requires a term that has never been agreed to.**

8. Citation

Nautilus Health Institute, *CAA 2026 Readiness Report: Provision Analytics Supplement, Plan Sponsor Contracts*, August 2026. Available at contractxray.com.

Figures are computed from the Contract X-Ray reference database as of August 2026 and reflect the population described in Section 2.

9. About This Analysis

This supplement is provided for informational and educational purposes only. It does not constitute legal, financial, or professional advice. Scores reflect explicit contract language and do not evaluate business practices, marketing claims, regulatory filings, or operational performance outside the documents reviewed. Plan sponsors should consult qualified counsel before incorporating any model language into a binding agreement.

Nautilus Health Institute is a 501(c)(3) nonprofit advancing fiduciary accountability for employer plan sponsors through independent, standards-based analysis of PBM contracts. No PBM or plan sponsor paid for inclusion in this analysis.

© 2026 Nautilus Health Institute. All rights reserved.